RISK REPORT

# Enterprise Risk Report 2024

Aurelia Grid Technologies plc — principal risks, appetite and controls

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|---|---|---|---|
| **Entity** | Aurelia Grid Technologies plc | **Period** | FY2024 (year ended 31 December 2024) |
| **Owner** | Group Risk Committee | **Framework** | Three lines of defence |
| **Risk appetite** | Approved 27 Feb 2025 | **Review cadence** | Quarterly |
| **Classification** | Confidential — internal | **Next review** | Q2 2025 |

## Risk overview

This report summarises the Group's principal risks as assessed by the Risk Committee for FY2024. Each risk is scored on a 1–5 scale for likelihood and impact; the residual rating reflects the position after mitigating controls. Two risks (supply-chain disruption and cyber security) are rated above appetite and are subject to enhanced monitoring.

| 16 | 2 | 6.8x | 2.30x | 1.62x |
|---|---|---|---|---|
| Risks on register | Above appetite | Interest cover | Net debt / EBITDA | Current ratio |

## Principal risk register

| Risk | Likelihood | Impact | Residual | Trend | vs appetite |
|---|---|---|---|---|---|
| Supply-chain disruption | 4 | 4 | High | ↑ | Above |
| Cyber security & data | 3 | 5 | High | ↑ | Above |
| Input cost / commodity | 4 | 3 | Medium | → | Within |
| Project execution / timing | 3 | 4 | Medium | → | Within |
| Refinancing & liquidity | 2 | 4 | Medium | ↓ | Within |
| Regulatory / policy change | 3 | 3 | Medium | → | Within |
| Climate transition | 3 | 3 | Medium | ↑ | Within |
| Talent & key-person | 3 | 2 | Low | → | Within |
| FX translation | 3 | 2 | Low | → | Within |
| Litigation & compliance | 2 | 3 | Low | ↓ | Within |

*Likelihood and impact scored 1 (low) to 5 (high). Residual rating is post-control. Trend is movement versus prior review (↑ rising, → stable, ↓ falling).*

# Principal risks in detail

## Supply-chain disruption (above appetite)

Concentration in battery-cell and power-electronics suppliers exposes the Energy Storage Systems segment to lead-time and pricing shocks. Mitigations include dual-sourcing for 78% of critical components (target 90% by end-2025), a strategic inventory buffer raising inventory to $318.9m, and contractual price-adjustment clauses on 64% of storage backlog.

## Cyber security & data (above appetite)

As the Smart Metering & Software segment grows, the Group holds more operational and customer data, increasing the impact of a breach. The Group invested $14.2m in security during 2024, achieved ISO 27001 recertification, and reduced mean time to detect to under 24 hours. Residual rating remains High owing to the rising threat environment.

## Refinancing & liquidity (improving)

Gross borrowings of $742.0m comprise $400m senior notes (2029), a $210m drawn RCF (2027) and a $132m term loan (2026). With cash of $193.7m and net debt / EBITDA of 2.30x, the Group has comfortable covenant headroom (limit 3.50x). The trend is improving as leverage falls.

# Financial resilience metrics

| Metric | FY2024 | FY2023 | Internal limit | Status |
|---|---|---|---|---|
| Net debt / EBITDA | 2.30x | 2.78x | ≤ 3.50x | Within |
| Interest cover (EBITDA/finance) | 6.8x | 5.9x | ≥ 3.0x | Within |
| Current ratio | 1.62x | 1.55x | ≥ 1.20x | Within |
| Liquidity headroom ($m) | 247.7 | 208.5 | ≥ 150.0 | Within |
| FX exposure (% revenue non-USD) | 55% | 57% | monitor | — |

# Reverse stress test — leverage

The scenario below models the EBITDA decline required to breach the 3.50x leverage covenant, holding net debt constant at $548.3m.

| Scenario | EBITDA ($m) | Net debt ($m) | Leverage (x) | Covenant |
|---|---|---|---|---|
| Base (FY2024 actual) | 238.7 | 548.3 | 2.30 | Pass |
| Mild stress (–15% EBITDA) | 202.9 | 548.3 | 2.70 | Pass |
| Severe stress (–30% EBITDA) | 167.1 | 548.3 | 3.28 | Pass |
| Covenant breach point | 156.7 | 548.3 | 3.50 | Breach |

*A breach would require EBITDA to fall approximately 34% from the FY2024 level with no offsetting debt reduction — outside the Risk Committee's plausible severe scenario.*